Deadline Monday

Weekend Edition — Trump's 48-hour Hormuz ultimatum expires Monday evening, creating a binary setup for Tuesday's open.

MARKETS — WEEK IN REVIEW

The week ending March 21 produced a rare environment in which equities, bonds, gold, and crypto all declined while crude oil surged. The "everything sells except crude oil" pattern that emerged mid-week intensified into Friday's close. Fear & Greed sits at 10, deep in Extreme Fear territory.

S&P 500 fell 4.2% on the week to 6,486. Brent crude rose 8.7% to $112. Gold lost over 10% to $4,490 as forced liquidation overwhelmed the safe-haven bid. Bitcoin slid through the weekend to $68,951, moving below its recent multi-week trading range.

Wednesday's FOMC decision—holding at 3.50–3.75% with CME FedWatch now pricing 12% odds of an April hike—removed the last hope of near-term monetary easing. The shift from "when do they cut" to "could they hike" is a fundamental repricing of the policy backdrop. Rate-sensitive names bore the brunt: utilities fell 4.06% on the week. The energy sleeve (CVX, OKE, VLO) continued to provide ballast, while the digital asset sleeve absorbed the heaviest drawdowns.

> ***When every asset class sells except crude oil, the market is expressing a single view: the energy shock is the macro. Monday's open hinges entirely on whether Trump's 48-hour ultimatum produces a Hormuz breakthrough or a new phase of escalation. Avoid Erosion—discipline over impulse in binary environments.***

GEOPOLITICS

Saturday night, Trump posted a 48-hour ultimatum on Truth Social: reopen the Strait of Hormuz or the US strikes Iranian power plants. Bloomberg and Al Jazeera both characterize this as the most consequential US ultimatum since the conflict began. The deadline falls at approximately 7:44 PM ET Monday—after the US equity close but before Asian markets open.

This came less than 24 hours after Trump suggested the US was considering winding down military efforts, a whiplash that underscores the difficulty of pricing geopolitical risk. Iran has approximately 400 power plants, including the Bushehr nuclear facility. Tehran's military command responded that any attack on Iranian energy infrastructure would trigger retaliation against all US-linked energy, IT, and desalination infrastructure across the region.

While Trump frames Hormuz as fully closed, the reality is more nuanced. Iran is transitioning from a total blockade to a selective one, developing a vetting and registration system for ships. Al Jazeera reports Japanese ships may soon be permitted to transit. Lloyd's List reports at least 10 ships have used a safe corridor hugging Iran's coastline. India, Pakistan, China, Malaysia, and Iraq are in direct talks with Tehran. An Iranian lawmaker indicated parliament is preparing legislation to levy transit fees—one tanker reportedly paid $2 million for passage. This selective-access framework complicates the binary open-or-closed framing of Trump's ultimatum.

Iranian missiles struck Dimona and Arad in southern Israel on Saturday, wounding over 100 people near the Negev Nuclear Research Center. Iran fired missiles at Diego Garcia, though the UK reported the attack was unsuccessful. Saudi Arabia expelled Iran's military attaché and four embassy staff—a notable break from Riyadh's earlier neutrality. Twenty-two nations issued a joint statement condemning the Hormuz blockade. The conflict has expanded to at least six countries' territory, and Israeli Defense Minister Katz stated strikes on Iran would increase significantly this week.

ON OUR RADAR

1. Monday's ultimatum deadline creates a binary setup for the week. The 48-hour window expires after Monday's equity close but before Tuesday's open. If US strikes follow, Tehran has explicitly promised regional infrastructure retaliation. If Iran offers even a partial concession on Hormuz access, the relief trade could be significant. GD and LMT provide defense exposure; CVX, VLO, and OKE remain positioned for prolonged energy disruption. We prepare for both outcomes without positioning around ambiguity. *Think Like an Owner.*

2. Bitcoin moved below its recent multi-week trading range over the weekend. BTC dropped to $68,951 on Sunday after the $1.9B options expiry added selling pressure. The digital asset sleeve (IBIT, ETHA, COIN, HUT, MARA) faces potential gap-down risk at Monday's open. The SEC-CFTC joint interpretation on March 18 clarifying that most crypto assets are not securities provides a constructive medium-term regulatory backdrop. Sustained weakness at current levels could warrant reassessment of near-term positioning.

3. Week ahead data: flash PMIs on Tuesday may provide the first read on the war's economic impact. S&P Global's preliminary March manufacturing and services PMIs (Tuesday 9:45 AM ET) will be the first hard data reflecting conditions since the

conflict began. Also on deck: Q4 GDP final estimate (Friday), Michigan Consumer Sentiment final (Friday), durable goods orders (Wednesday), and initial claims (Thursday). KB Home reports Tuesday—a read on housing demand amid rising rates. *Research Reveals Opportunities.*

4. Iran's transit fee proposal could reshape global shipping economics. If Tehran's parliament passes legislation charging for Hormuz passage, it would create a permanent toll on roughly 20% of global oil transit. The reported $2M-per-tanker fee, if standardized, would add meaningful cost to every barrel flowing through the strait—even after the conflict ends. This is a structural shift worth monitoring for IOWN's energy and shipping exposure. **Simplicity Over Complexity.**

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